

Are You Still Required to Remit NHF Contributions? The Rules Have Changed

Wholesome Legal House Insights | Reviewed and updated July 2026

For years, the 2.5% National Housing Fund deduction from employee salaries was treated by most Nigerian employers as a routine, compulsory payroll item, on the same footing as pension or PAYE. That assumption is no longer quite right for private-sector employers, and the change is easy to miss — partly because it happened without much fanfare, and partly because a lot of commentary still in circulation online is based on a law that, as it turns out, never actually came into force.

The Foundational Law — and a Common Misconception

The National Housing Fund scheme was established by the National Housing Fund Act No. 3 of 1992 (now Cap N45, Laws of the Federation of Nigeria 2004), administered by the Federal Mortgage Bank of Nigeria (FMBN), to mobilise long-term, affordable-interest housing finance for contributing Nigerian workers.

A National Housing Fund (Establishment) Bill, 2018 passed both chambers of the National Assembly and is sometimes cited — including in older legal and professional commentary — as though it repealed and replaced the 1992 Act with a tougher regime (higher penalties, a broader contributor base, a cement levy). It never became law. President Buhari formally declined assent to the bill in March 2019, citing concerns about its economic impact, and the National Assembly never took the steps needed to override that decision. The result is that the original 1992 Act remains the governing law today — not the more onerous 2018 version, whose widely-quoted ₦100 million corporate penalty figure was never actually enacted.

What Did Genuinely Change

The real change came from a different, less publicised source. The Business Facilitation (Miscellaneous Provisions) Act 2022, signed into law in February 2023, amended the NHF framework to narrow who is compulsorily required to contribute. Under the amended position, mandatory NHF contributions now apply only to: public-sector employees earning the national minimum wage or above, and self-employed persons. Private-sector employees are no longer required to contribute — participation for them is now voluntary. An employer can still offer and facilitate NHF participation for private-sector staff who want it (and many employees still choose to contribute, to preserve access to NHF mortgage products), but there is no longer a blanket legal obligation on private employers to deduct and remit for staff who haven't opted in.

Where the Obligation Still Bites

For contributions that remain mandatory — public-sector employees earning minimum wage and above, self-employed contributors, and any private-sector employee who has affirmatively opted in — the original 1992 Act's mechanics continue to apply in full. Section 4 fixes the rate at 2.5% of monthly basic salary and empowers the FMBN to receive and manage contributions, paying interest of 4% on amounts held. Section 9(1) requires the employer to deduct that 2.5% at source, and Section 9(2) requires the deducted sum to be remitted to the FMBN within one month of deduction. The obligation, once it applies, is not discretionary, and it is no defence that the affected staff themselves asked the employer not to remit the deduction.

The penalties for non-remittance where the obligation does apply remain those set out in Section 20 of the 1992 Act, not the never-enacted 2018 figures: under Section 20(1) and (2), a corporate employer that fails to deduct, or deducts but fails to remit, commits an offence carrying a fine of ₦50,000 on conviction; an individual member of staff responsible for making the deduction or remittance who defaults faces a fine of ₦20,000 or imprisonment for up to five years, or both. Section 20(5) makes clear that the imposition of any penalty does not relieve the employer of the underlying obligation to still pay over the amounts that were

deducted, and Section 20(4) creates a separate offence, carrying a fine of ₦5,000 or up to one year's imprisonment, for anyone who obstructs a deduction or remittance. Under Section 23, NHF contributions, and any refunds of them, remain exempt from income tax.

Getting Contributions Back to Staff

The FMBN, not the employer, is responsible for paying out contributions and refunds. Eligible contributors — those who, under Section 17, have reached 60 years of age, retired, or otherwise become unable to continue contributing, and who have not taken an FMBN housing loan — apply directly to the FMBN for a refund of their contributions and accrued interest. An employer can support this process by formally requesting, under Section 19(2), a comprehensive statement of account from the FMBN covering its registered staff, and making that statement available to affected employees, or by exercising its right under Section 18 to visit the FMBN and inspect the underlying books of account and records.

The Practical Takeaway

Private-sector employers should audit their current NHF deduction practice against the 2022 amendment: confirm whether ongoing deductions are being made on a genuine, documented opt-in basis for each contributing employee, rather than continuing a blanket deduction inherited from before the amendment. Employers should also be cautious about relying on online commentary (including some still-circulating professional guidance) that cites the never-enacted 2018 Act's penalty figures or contributor base as current law.

A note on currency of the law

The National Housing Fund (Establishment) Act 2018 was never signed into law — presidential assent was declined in March 2019 — and should not be treated as governing law, notwithstanding how often it is cited as though it were.

The Business Facilitation (Miscellaneous Provisions) Act 2022 (in force from February 2023) is the significant, genuine change: private-sector NHF contributions are now voluntary rather than compulsory, with mandatory contribution now limited to public-sector employees on minimum wage and above, and self-employed persons.

Penalties for non-remittance, where the obligation still applies, remain those under the original 1992 Act (₦50,000 for corporate employers; ₦20,000 or up to five years' imprisonment for responsible individuals) rather than the higher figures associated with the 2018 bill.

This article is published by Wholesome Legal House for general information purposes only. It is not legal advice, and no solicitor-client relationship arises from reading it. The facts of any specific matter may alter the analysis. For advice on a particular situation, please contact us.